Illustration 12

From the following particulars, show how the item 'subscription' will appear in the Income and Expenditure Account for the year ended 31-12-2018?

Subscription received in 2018 is ₹ 16,000 which includes ₹ 3,000 for 2017 and ₹ 5,000 for 2019. Subscription outstanding for the year 2018 is ₹ 4,000. Subscription of ₹ 2,000 was received in advance for 2018 in the year 2017.

Solution

Dr. Income and Expenditure Account for the year ended 31st December, 2018 Cr.

Expenditure	₹	Income	₹	₹
		By Subscription received during the year	16,000	
		Less: Subscription received for 2017	3,000	
			13,000	
		Less: Subscription received for 2019	5,000	
			8,000	
		Add: Subscription due for 2018	4,000	
			12,000	
		Add: Received in advance in 2017 for 2018	2,000	**14,000**

(b) Treatment of consumable items such as sports materials, stationery items, medicines, etc.

(i) Consumable items such as sports materials, stationery, medicines, etc., consumed during the year will appear on the debit side of income and expenditure account.

(ii) Consumption = Opening stock + Purchases during the current year - Closing stock

(iii) Closing stock will appear on the assets side of the balance sheet as at the end of the year.

(iv) If there is any sale of old sports materials, etc., that will be shown on the credit side of income and expenditure account or can be subtracted from the respective items consumed on the debit side of income and expenditure account.

Illustration 13

How will the following items appear in the final accounts of a sports club?

Particulars	₹
Stock of sports materials (01.04.2018)	3,000
Sports materials purchased during current year	9,000
Sale of old sport materials during current year	500
Stock of sports materials (31.03.2019)	4,000

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